

Calendar Line 1

Case Name: *Bucks County Employees' Retirement System et al. v. Timothy Cook et al.*
Case No.: 25CV467513

This is a putative shareholder derivative action brought on behalf of nominal defendant Apple, Inc. against nine of its current and former officers and directors (the “Individual Defendants”) for breach of fiduciary duty. Defendants now move to stay this action pending the resolution of certain allegations in a federal securities class action, *City of Coral Springs Police Officers' Pension Plan v. Apple Inc.* (N.D. Cal. 2025) No. 5:25-cv-06252-NW (the “Securities Class Action” or “*Coral Springs*”). The motion is opposed. As discussed below, the Court GRANTS IN PART the motion, such that this action is stayed until the resolution of the pending motion to dismiss in the Securities Class Action.

I. Background

Plaintiffs allege that the Individual Defendants caused or allowed Apple to willfully violate an injunction entered in *Epic Games, Inc. v. Apple Inc.* (N.D. Cal. 2020) No. 4:20-cv-05640-YGR (the “Epic Injunction”). The Epic Injunction barred Apple from prohibiting developers from steering customers to non-Apple purchasing mechanisms. On April 30, 2025, the federal district court held Apple in civil contempt for violating the Epic Injunction (the “Contempt Order”). Plaintiffs filed this action in June 2025, without first making a demand on Apple’s Board, alleging that demand would have been futile.

Soon thereafter, in July 2025, the Securities Class Action was filed in federal court, asserting claims under Sections 10(b) and 20(a) of the Securities Exchange Act. As relevant here, that action alleges that Apple and certain officers made false or misleading statements that Apple had complied with the Epic Injunction when, in fact, Apple was willfully violating it. After a lead plaintiff was appointed, an amended complaint was filed in January 2026 that substantially expanded the *Epic*-related allegations. Apple’s motion to dismiss is fully briefed and awaiting decision. Discovery in the Securities Class Action is stayed under the Private Securities Litigation Reform Act (PSLRA).

After the instant motion to stay was filed, the United States Court of Appeals for the Ninth Circuit, on December 11, 2025, affirmed the district court’s contempt finding, affirmed in part and reversed in part the contempt remedies, and remanded. (*Epic Games, Inc. v. Apple Inc.* (9th Cir. 2025) 161 F.4th 1162.) Rehearing was denied and the mandate issued; Apple has filed a petition for a writ of certiorari that remains pending.¹

II. Legal Standard

“Trial courts generally have the inherent power to stay proceedings in the interests of justice and to promote judicial efficiency.” (*Freiberg v. City of Mission Viejo* (1995) 33 Cal.App.4th 1484, 1489 (*Freiberg*)). “[W]hen a federal action has been filed covering the same subject matter as involved in the California action, the California court has the discretion but not the obligation to stay the state court action.” (*Caiafa Pro. Law Corp. v. State Farm Fire & Cas. Co.* (1993) 15 Cal. App. 4th 800, 804 (*Caiifa*); see also *Thomson v. Contl. Ins. Co.* (1967) 66 Cal.2d 738, 746.) In exercising its discretion, the Court considers whether a stay will avoid the possibility of conflicting rulings, the importance of avoiding unseemly conflicts with other courts, the relative convenience of the forums, and whether the federal action is pending in California and not some other state. (*Caiafa, supra*, 15 Cal.App.4th at 804; *Farmland Irrigation Co. v. Dopplmaier* (1957) 48 Cal. 2d 208, 215.)

A recurring application of these principles is a stay of a shareholder derivative action pending a parallel securities class action. Because a derivative plaintiff acts in a “fiduciary character” for the corporation (*Cohen v. Beneficial Indus. Loan Corp.* (1949) 337 U.S. 541, 549), and a derivative suit exists “to protect the interests of the corporation” (*Kamen v. Kemper Fin. Servs., Inc.* (1991) 500 U.S. 90, 95), numerous courts have stayed derivative actions where simultaneous prosecution would force the company to take inconsistent positions or risk inconsistent rulings. (See, e.g., *In re STEC, Inc. Deriv. Litig.* (C.D. Cal. 2012) 2012 WL 8978155, 2012 U.S. Dist. LEXIS 189167 (*STEC*); *Cucci v. Edwards* (C.D. Cal. 2007) 2007

¹ Several related actions are pending: *Anguka and City of Hialeah* (Super. Ct. Santa Clara 2025) No. 25CV472876; *Western Fund* (Super. Ct. Santa Clara 2026) No. 26CV491926; *City of Hollywood* (N.D. Cal. 2026) No. 5:26-cv-01724; and *In re Apple Inc. AI Deriv. Litig.* (N.D. Cal. 2025) No. 5:25-cv-05364.)